THE *CRASH* IN A NUTSHELL



Countries that pumped in billions into their economies as **relief for Covid had to fend the biggest enemy of surplus money: high inflation.** Central banks began to raise rates, leading to a flight of funds from emerging markets back to the US, precipitating a funds squeeze for start-ups



Start-ups perennially looking for **external funding to boost their operations were left in the lurch.** Start-ups used to get funds based on their mark-to-market valuations, and these were not valuations based on real performance. High expectations had led to a cash splurge in many start-ups, and they struggled to come to terms with the new reality



Revenues of start-ups started slowing down. As the **Indian economy opened up post the pandemic, schools and shops reopened and travel resumed,** online businesses catering to these sectors began seeing a corresponding dip. This hit their valuations and, later, funds prospects from investors



The stock markets were harsh on many of the stars on the start-up block. Paytm, Policy Bazaar, Nykaa and others that went public in 2021, saw their **share prices fall way below the listing price, wiping out millions of dollars** in **investor wealth.** Other start-ups, therefore, ruled out the IPO option to raise funds

style and health and hygiene. The massive stimulus pumped into several developed economies (over $5 trillion in the US and $875 billion in Europe) also made markets flush with liquidity, which, in turn, flowed into the emerging markets to fund start-up ventures. Indian start-ups, which received $10.9 billion (Rs 89,436 crore) in 2020, saw funding shoot up to $35.2 billion (Rs 2.9 lakh crore) in 2021 (*see lead chart*).

The pandemic years saw the birth of several unicorns across the world. As on May 31, 2023, India had 108 start-ups featuring in the unicorn club, several of whom have been there since April 2020. Invest India, the government's investment promotion agency, says these unicorns were collectively valued at $340.8 billion (Rs 28 lakh crore), almost 10 per cent of a $3.5 trillion (Rs 287 lakh crore) economy. A few of them saw a big surge in online customers. Food start-ups such as Zomato and Swiggy saw their orders increase multifold as people stayed indoors. In edtech, where closed schools drove students to online classes, the boom was even more significant.

However, things took a drastic turn post the pandemic. Countries that pumped in billions into their economies as relief for Covid had to deal with the biggest enemy of surplus money—high inflation. As inflation in the US rose (it touched over 9 per cent by June 2022), the Federal Reserve, the country's central bank, initiated a series of interest rate hikes, taking them from zero to nearly 5 per cent by May 2022. High interest rates stopped surplus money from flowing out of the country as financial firms found it more lucrative to operate in the US market than elsewhere. The resultant funds squeeze made venture capitalists and private equity firms close the tap for start-ups worldwide.

By 2022, funding for Indian start-ups fell to $24 billion (around Rs 2 lakh crore). A recent report by Big Four firm PwC says the figure for the first half of calendar year 2023 has been the lowest in the past four years. From $5.9 billion (Rs 48,410 crore) during the first half of calendar year 2022, funding fell 36 per cent to $3.8 billion (Rs 31,179 crore) in the same period this year. The projections suggest the start-ups will get only half of the $24 billion (Rs 2 lakh crore) they mopped up in 2022. While the edtech and food tech sectors took a back seat, fintech, SaaS (software as a service) and direct-to-consumer (D2C) sectors attracted the most funds. Start-ups perennially looking for external funding to boost operations were now left in the lurch. "When you get free money, you tend to waste it," says Kunal Nandwani, co-founder and CEO of fintech firm uTrade Solutions. "Start-ups tend to become complacent. But the reality is that you are in a short cycle when you get the money...eventually, your business model has to work." Start-ups were used to getting funds based on their mark-to-market valuations (a method of measuring the fair value of accounts that can fluctuate over time), and these were not based on real performance, he adds. On the other side of the story was the slowing down of revenues. As the Indian economy opened up after the